Leave Policy

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Owner: Human Resources, Acme Analytics Pvt Ltd

Note: Fictional sample document created for testing a RAG system. Acme Analytics Pvt Ltd is not a real company.

1. Purpose and scope

1.1 This policy explains the types of leave available to employees of Acme Analytics Pvt Ltd ("Acme"), how leave is earned, how to apply for it and how it is treated at the time of separation.

1.2 It applies to all permanent employees in India across the Hyderabad, Bengaluru and Pune offices. Interns and consultants are not covered; their leave terms are stated in their contracts.

1.3 The leave year is the calendar year, 1 January to 31 December. All leave is recorded and approved in PeopleHub, the company HR system.

2. Types of leave

2.1 Casual Leave (CL)

Casual Leave is meant for short, unplanned personal needs. Every employee receives 8 days of Casual Leave per year, credited on 1 January. At most 3 days of Casual Leave can be taken at a stretch. Casual Leave cannot be carried forward and cannot be encashed.

2.2 Sick Leave (SL)

Every employee receives 8 days of Sick Leave per year, credited on 1 January. A medical certificate from a registered practitioner is required when Sick Leave exceeds 2 consecutive days. Sick Leave cannot be carried forward and cannot be encashed. If you are unwell on a working day, inform your manager by 10:30 AM that day.

2.3 Privilege Leave (PL)

Privilege Leave (also called Earned Leave) is for planned vacations and longer breaks. It accrues every month, at a rate that depends on the employee's band (see the entitlement table in section 3). Unused Privilege Leave can be carried forward up to the maximum balance for your band; any balance above the cap lapses on 31 December. Privilege Leave is encashed when an employee leaves the company (see section 8).

2.4 Maternity Leave

Female employees who have worked at least 80 days in the 12 months before the expected delivery date are entitled to 26 weeks of paid Maternity Leave for the first two children and 12 weeks for the third child onwards. Up to 8 weeks may be taken before the expected delivery date. In case of miscarriage or medical termination of pregnancy, 6 weeks of paid leave is granted on production of a medical certificate. Employees who adopt a child below three months of age, and commissioning mothers, receive 12 weeks of leave from the date the child is handed over.

2.5 Paternity Leave

A male employee is entitled to 10 working days of paid Paternity Leave on the birth or adoption of a child. It must be taken within 6 months of the date of birth or adoption and can be taken in up to two blocks.

2.6 Marriage Leave

An employee is entitled to 5 days of paid Marriage Leave once during their service at Acme, for their own marriage. A wedding invitation or marriage certificate may be requested.

2.7 Bereavement Leave

In the event of the death of an immediate family member (spouse, child, parent, sibling, parent-in-law), the employee may take 5 working days of paid Bereavement Leave. For the death of an extended family member (grandparent, uncle, aunt), 2 working days are granted.

2.8 Compensatory Off

An employee who is asked in writing by their manager to work on a weekend or a company holiday earns one Compensatory Off (Comp-Off) for a full day of work, or half a Comp-Off for 4 hours or more. A Comp-Off must be used within 60 days of the date it was earned, otherwise it lapses. Comp-Offs cannot be encashed.

2.9 Leave Without Pay (LWP)

Leave without pay may be granted in exceptional cases, such as long medical treatment or higher studies, with the approval of the manager, the department head and HR. A single LWP period cannot exceed 90 days. During LWP the employee does not accrue leave and the salary is reduced for each day of absence.

3. Leave entitlement by band

The table below shows the annual entitlement for each band. Bands are defined in the Employee Handbook.

Band	Casual Leave (days/yr)	Sick Leave (days/yr)	Privilege Leave (days/yr)	Maximum PL carry-forward (days)
Band A	8	8	18	30
Band B	8	8	20	30
Band C	8	8	22	36
Band D	8	8	24	45
Band E	8	8	26	45

Privilege Leave accrues in equal monthly instalments. For example, a Band A employee accrues 1.5 days of Privilege Leave per month (18 days a year).

4. New joiners and employees who leave mid-year

4.1 Leave for the year of joining is credited pro-rata from the date of joining, rounded up to the nearest half day. An employee who joins on or before the 15th of a month gets credit for that whole month.

4.2 During the 6-month probation period, Privilege Leave can be taken only for up to 3 consecutive days at a time, unless the Human Resources head approves otherwise.

4.3 Employees who leave during the year receive pro-rata Casual Leave and Sick Leave only up to their last working day. Any Casual Leave or Sick Leave taken in excess of the pro-rata entitlement is recovered from the final settlement.

5. How to apply for leave

5.1 Apply in PeopleHub before the leave starts. For Sick Leave taken without notice, apply within 2 working days of returning.

5.2 Casual Leave of 3 days or more should be applied at least 3 working days in advance. Privilege Leave of 5 or more consecutive working days must be applied at least 15 calendar days in advance.

5.3 The reporting manager must approve or reject a request within 2 working days. If the manager does not act, the request is escalated automatically to the skip-level manager.

5.4 A half-day leave is counted as 0.5 day. A half day means working or being absent for at least 4 hours.

5.5 Employees cannot have a negative balance of Casual Leave or Sick Leave. A Privilege Leave advance of up to 3 days may be allowed with the approval of the manager and HR.

6. Sandwich rule

Weekends and company holidays that fall between two days of Casual Leave or Sick Leave are counted as leave (the sandwich rule). The sandwich rule does not apply to Privilege Leave, Maternity Leave, Paternity Leave, Marriage Leave or Bereavement Leave. For example, if an employee takes Casual Leave on Friday and the following Monday, the Saturday and Sunday are also deducted from the Casual Leave balance.

7. Leave during the notice period

7.1 Privilege Leave cannot be used to adjust or shorten the notice period. If an employee takes any leave other than approved Sick Leave during the notice period, the notice period is extended by the same number of days.

7.2 Casual Leave and Sick Leave can be used during the notice period only with the approval of the manager. The Notice Period and Exit Policy gives more detail.

8. Encashment of leave

8.1 Casual Leave, Sick Leave and Compensatory Off cannot be encashed at any time.

8.2 The balance of Privilege Leave is encashed at the time of resignation, retirement or termination (other than termination for gross misconduct). The encashment is paid with the full and final settlement.

8.3 The amount paid per day is the monthly Basic salary divided by 26.

8.4 There is no encashment of Privilege Leave while the employee is in service.

9. Public holidays

Acme observes 11 company holidays a year in each office, plus 2 optional holidays that an employee can choose from a list. The dates are published every year in the Holiday List. Public holidays that fall on a weekend are not compensated with another day off.

10. Misuse of leave

Taking leave without approval, or submitting a false medical certificate, is treated as misconduct under the Code of Conduct. Unauthorised absence is treated as Leave Without Pay. Absence of 5 or more consecutive working days without any intimation is treated as abandonment of service, which is described in the Notice Period and Exit Policy.